# Analysis of GMH Gruppe

Region Europe & CoE Metallurgy // Internal Use Only

Georgsmarienhütte
GMH GRUPPE

SMS group

# Analysis of GMH Gruppe

## Agenda


**01** Executive Summary

**02** CVs Großmann & Becker

**03** Locations in Europe

**04** Installed Base

**05** Project activities

**06** Service activities

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# GMH Group at a glance – Business opportunities with highly price sensitive customer

## Executive Summary: €2B revenue investing €62M in decarbonization technology

**Großman Family owned since 1993**

**Dr. Anne-Marie Großmann** (Co-CEO & Owner): "No generation wants to leave the world worse off" — Long-term sustainability commitment with patient capital approach

### COMPANY PROFILE & FINANCIAL STRENGTH

**Current Revenue**
~2 Bn €

**Workforce**
5.500+

- GMH achieved **record €2.31B revenue** in 2022 (+19.9% YoY) with €125.9M profit after pandemic recovery
- **28.6% equity ratio (€360M)** demonstrates financial strength - fully repaid €58M government COVID support in 2022
- **Complete value chain control**: From scrap recycling (ALBA Metall) to finished automotive/aerospace components
- **Niche dominance strategy**: Focus on high-value specialty steels for automotive, rail, energy, and defense applications with premium pricing power

### 2025/2026 NEWS & MARKET CHALLENGES

- **Active portfolio optimization**:
  - Acquired parts of ***Buderus Edelstahl*** which resulted in add. investments in ***Stahlwerke Bous for*** *capacity* reasons
  - Signed MoU with *Greenland Resources* for molybdenum supply
  - Consolidated *Kind & Co.*, *Schmiedewerke Gröditz* & *Buderus* into **"GMH Open-Die Forging Group"** with **30M€ investment**
- Energy cost crisis: **€19M additional annual costs** due to german electricity prices = one-third of total investment budget threatens competitiveness -> ***need to modernize EAF equipment for higher efficiency***

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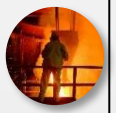
# GMH Group & SMS group – Perception of SMS

## Actively promoting topics but administrative hurdles hinder business

**Feedback from Interview: Beate Grosch, *Director Commodity Management Procurement***

### CUSTOMER RELATIONSHIP ISSUES



- "**SMS acts like administrative apparatus** with many interfaces, rules and processes" - customer sees us as **bureaucratic obstacle**
- "**Very low reaction speed**" and "**negotiations not balanced**" - customer feels ignored and undervalued in partnership
- **Limited recommendation of SMS to colleagues**: "complicated, expensive, not technologically advantageous" - reputation risk
- Lost competitive edge: **Andritz and others "more flexible taking project risks** as chances" while SMS shows "risk avoidance“
- **4-year-old negative negotiation** still remembered: "None of GMH suggestions could be implemented" - lasting damage from inflexibility

### STRENGTHS TO LEVERAGE

- **Strong technical credibility maintained**: "High technical competence in wide range of products with very international setup“
- Customer clearly states requirements: "**Technical excellence and balanced approach** to conditions“
- GMH still engages with SMS despite feedback - **indicates** underlying **business value and relationship potential**
- **Sales and project planning** rated 3/5, Order execution 4/5 - some operational strengths to build upon
- Regular contact maintained: "Yes" - **SMS sales team keeping relationship active despite challenges**
- SMS acknowledged as "**active in broad field of technologies**" - customer recognizes our comprehensive capabilities

### Recent C-Level activities Region & CoE ME

**SMS OPERATIONAL RESPONSE TO GMH ENGAGEMENT**

- **CEO-level site visit** completed **September 6 2024** - GMH leadership team expressed appreciation for engagement
- Current activities for Budget **Offer of EAF Retrofit at Stahlwerke Bous** (**18M€, Status: Feb 2026**)
- Equipment upgrade options developed for immediate operational benefits

**COMMERCIAL AND PROJECT FRAMEWORK**

- Legal framework completed and commercial terms coordination initiated
- Full cost-benefit analysis included in study scope
- Service-focused approach prioritized over equipment-only sales

**STATUS SUMMARY**

- Improved relationship, limited orders: GMH appreciated SMS engagement as positive direction but activities haven't increased order intake
- Price sensitivity barrier: GMH maintains strict cost focus despite improved relations
- Channels remain open: Ongoing dialogue with potential if pricing improves

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# Dr. Anne-Marie Großmann

## Chief Development Officer GMH group

### Professional Profile

**Current Role:** Chief Development Officer, GMH Group (since January 2021, contract extended to 20230)
**Responsibility:** Investments, Top Management Development, Real Estate
**Company:** Germany's most climate-friendly steel company | 6,000+ employees | €1.9B revenue

**Previous Experience:**
•**CEO** WINDHOFF Rail & Infrastructure Technology (2019-2021)
•**Consultant** Bain & Company (2015-2018) - International strategy projects
•**Supervisory Board Member** GMH Group (2014-2021)

**Education & Qualifications**
•**PhD Economics** - TU Berlin & Berlin School of Economics (2010-2015)
•**MSc Economics & Management** - Humboldt University Berlin (2010-2012)
•**BSc Philosophy & Economics** - London School of Economics (2006-2009)
•**Study Abroad** - Peking University, Political Economy (2009)

### Vision, Transformation & Leadership

**Mission:** Leading 167-year-old steel company's transformation to carbon neutrality by 2039

**Key Achievements:**
⚡ **Green Innovation:** Europe's first DC electric arc furnace (80% lower $CO_2$ emissions)
👥 **Diversity Goals:** 20% female workforce, 25% female leadership by 2030
🚄 **Industry Leadership:** German Railway Industry Association board member

**Culture Change:** Launched company daycare, employee wellness programs

**Philosophy:** *"Reshaping industry's future sustainably through synergy of products, people, and resources for coming generations."*

### Personal Information

**Details:** Age 37-38, born in 1988 | Married to Felix Minkwitz | Berlin-Georgsmarienhütte residence

**Family Legacy:**
•**Father:** Jürgen Großmann (71) - Steel legend, former RWE CEO
•**Mother:** Dagmar Sikorski (67) - Hamburg music publishing entrepreneur
•**Siblings:** Quirin (GMH Supervisory Board Chairman) & Johanna Großmann
**Interests:** 🐎 Polo enthusiast with own horses | 🏡 Private farm owner | 🏃 Weekly company fitness runs

🌍 Multilingual (German, English, Chinese)

**Values:** "If you want to achieve something, you must work for it" - combining mother's action-oriented approach with father's people-focused leadership

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# Dr. Alexander Becker

## CEO & Chairman GMH group

### Professional Profile

**Current Role:** CEO & Chairman, GMH Group (June 2021 – Present, contract extended to 2030)
Leading Europe's largest privately managed metalworking company | 6,000+ employees | €2.3B revenue

**Key Positions:**
•**Global CEO** thyssenkrupp Forged Technologies (2017-2021): Led global production operations across Germany, Italy, USA, Mexico, Brazil, China, India
•**Global CEO** thyssenkrupp Forging and Machining (2015-2017): International manufacturing leadership
•**Vice President** Continental AG, China (2010-2014): Head of Hydraulic Brake Systems China, managing €580M sales, 3,600 employees, 2 plants, 11 joint ventures

**Education:**
•**PhD in Economics** - WHU Otto Beisheim School of Management (2003-2006): "Supplier Management in Developing Countries"
•**International Management** - Rio de Janeiro: Global business expertise
•**Industrial Engineering** - Technical University Darmstadt: Technical foundation
•**Executive Program** - Baden-Baden Business Dialogues (2020): Leadership development

### Vision, Transformation & Leadership

**Mission:** Transforming GMH Group into Europe's leading green steel provider and achieving climate neutrality by 2039

**Key Achievements:**
⚡ **$CO_2$ Reduction Pioneer:** Cut emissions from 4M tons (1992) to 665K tons today - 80% reduction through electric arc furnace technology
🌱 **Green Power Premium Steel:** First 100% renewable energy steel product meeting all Scope 1-3 greenhouse protocol criteria
♻️ **Circular Economy Leader:** 100% scrap-based steel production from regional sources (100-500km radius)
🏭 **Industrial Innovation:** 20 photovoltaic projects, 30% green electricity from German wind farms
🎯 **Performance Excellence:** Member of "Top 40 under 40" executives (2014-2015)

**Leadership Philosophy:** *"We want to be the benchmark of the industry for green steel and proactively shape the transformation toward a climate-neutral economy."*

### Personal Information

**Details:** Age 53-54| Based in Georgsmarienhütte, Lower Saxony, Germany

**International Background:**
**Global Executive Experience:** 15+ years across Germany, Brazil, China, USA, Mexico, India, Italy
**Cultural Expertise:** Extensive experience in developing markets and international manufacturing
**Industry Recognition:** Selected for elite "Top 40 under 40" executive program

**Professional Focus:**
🌍 **Global Perspective:** Multilingual leader with deep emerging market experience
⚙️ **Technical Expertise:** Industrial engineering background with automotive and steel industry specialization
📈 **Performance Orientation:** Results-driven approach with strict performance and outcome focus

**Values:** Committed to „preserving a livable planet for future generations while maintaining industrial competitiveness and creating sustainable value for stakeholders“

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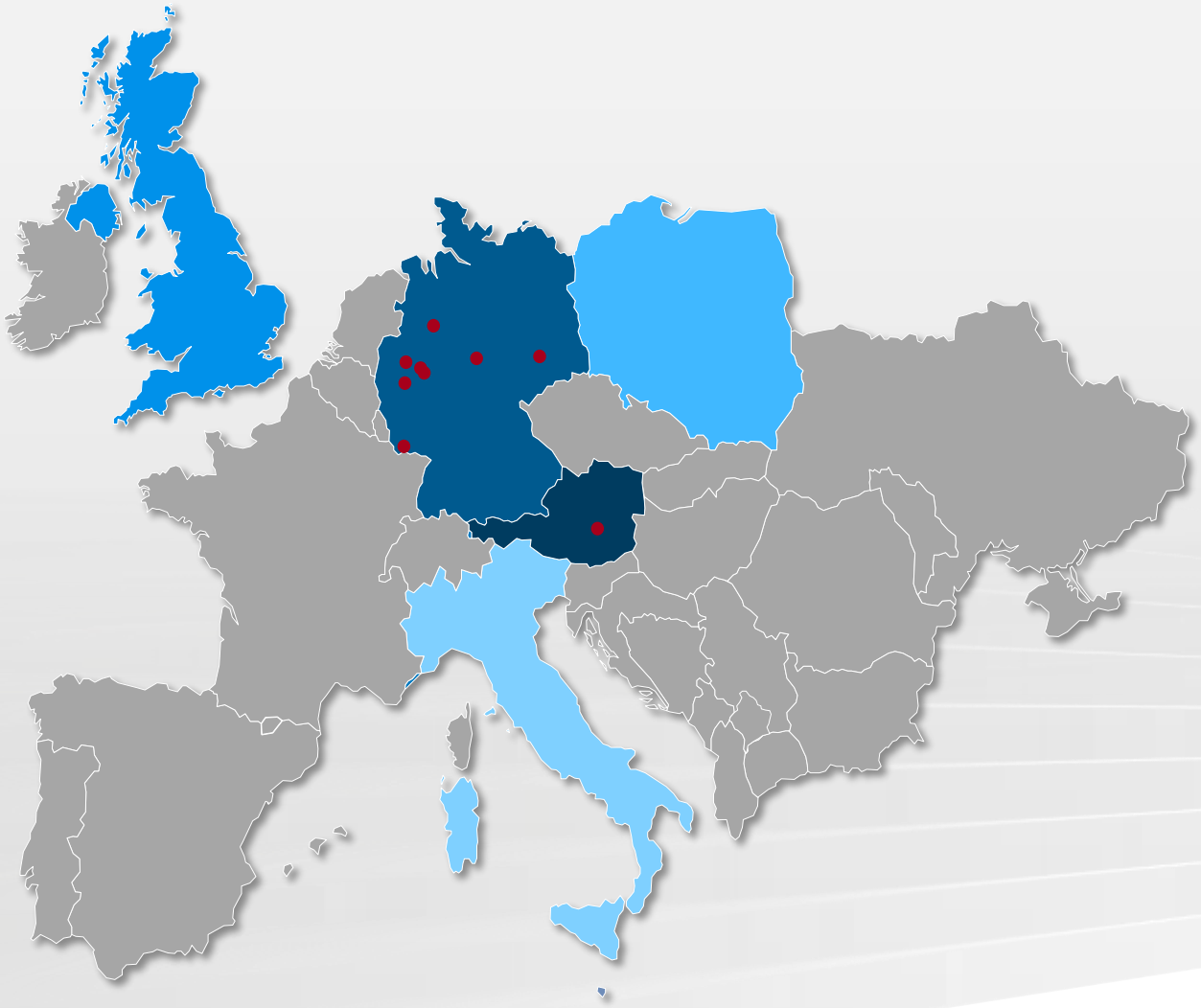
# Overview: Locations in Europe

- Locations recorded in CRM



**Stahl Judenburg GmbH**
Judenburg
Austria

**VTK Krieglach GmbH**
Krieglach
Austria

**Georgsmarienhütte GmbH**
Georgsmarienhütte
Germany

**Stahlwerk Bous GmbH**
Bous
Germany

**GMH Recycling GmbH**
Osnabrück
Germany

**Schmiedewerke Gröditz GmbH**
Gröditz
Germany

**Mannstaedt GmbH**
Troisdorf
Germany

**Energietechnik Essen GmbH**
Essen
Germany

**Geissler Wista GmbH**
Witten
Germany

**Schmiedag GmbH**
Hagen
Germany

**MVO GmbH Metallverarbeitung Ostalb**
Schwäbisch Gmünd
Germany

**Wildauer Schmiede- und Kurbelwellentechnik GmbH**
Wildau
Germany

**Kind & Co. Edelstahlwerk, GmbH & Co. KG**
Wiehl
Germany

**Pleissner Guss GmbH**
Herzberg am Herz
Germany

**GMH UK Ltd.**
Chesterfield
United Kingdom

**Kind & Co. Italia**
Collegno
Italy

**Steel and Casting Services Sp. z o.o.**
Lubin
Poland

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# Overview: Installed Base

## Summary by Product groups

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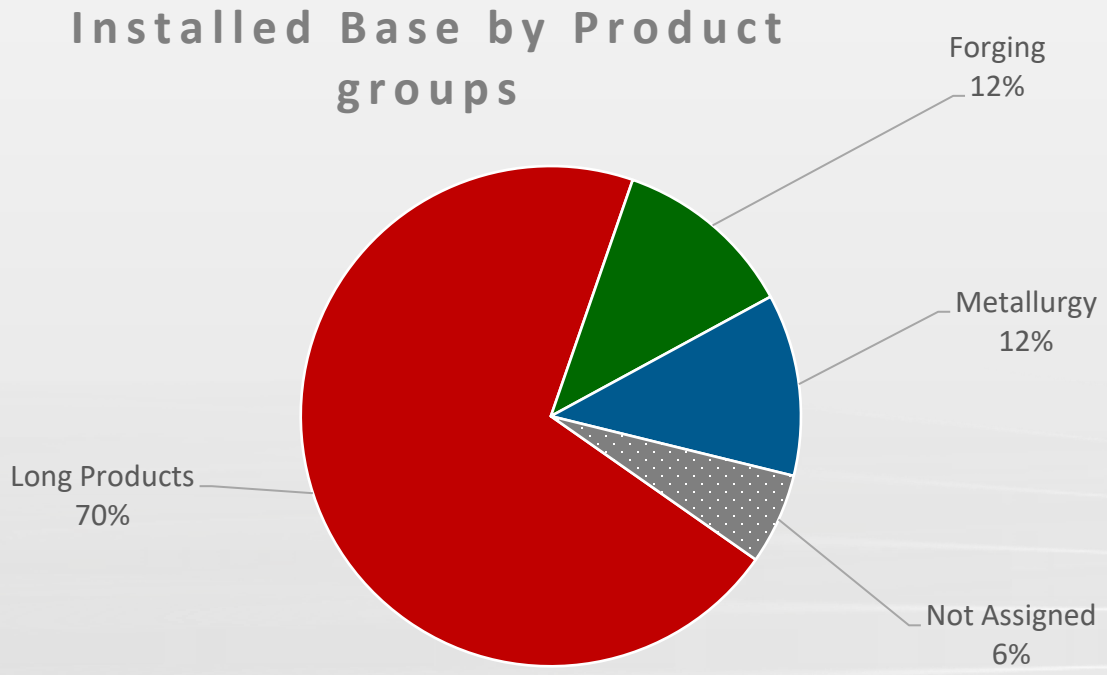


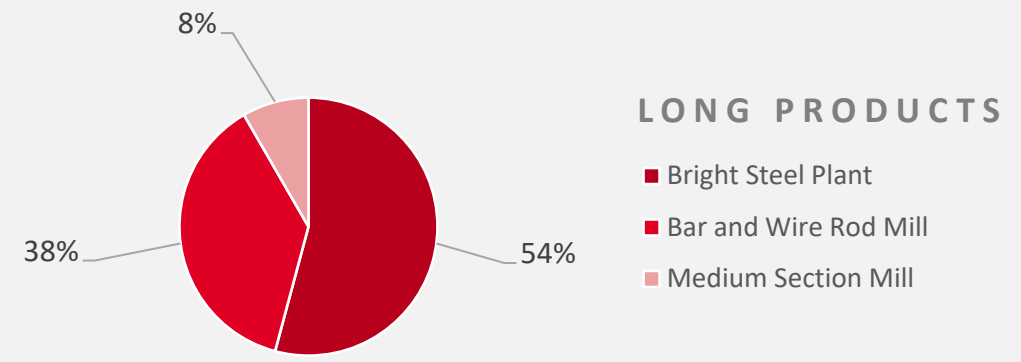


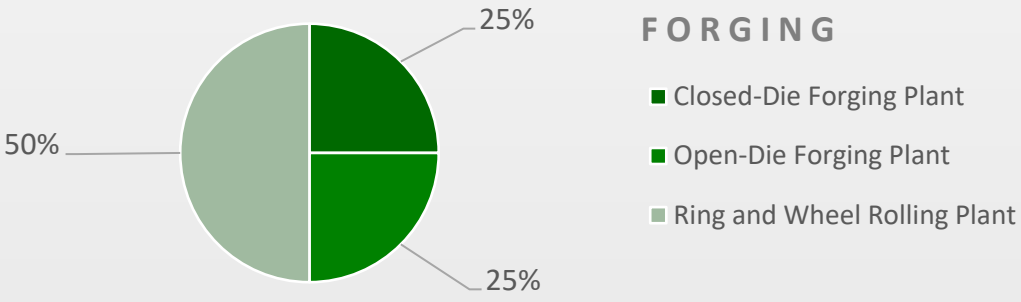


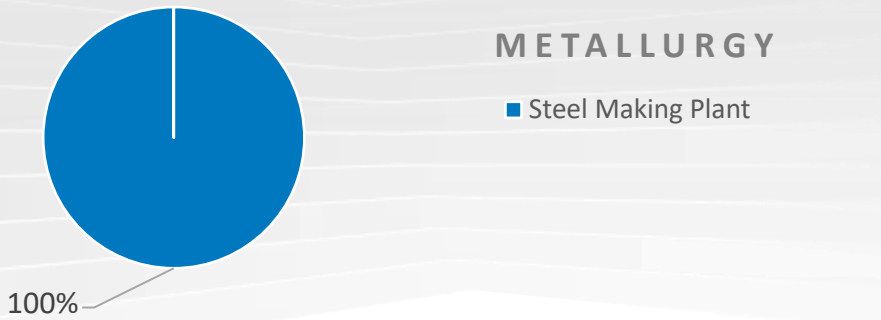


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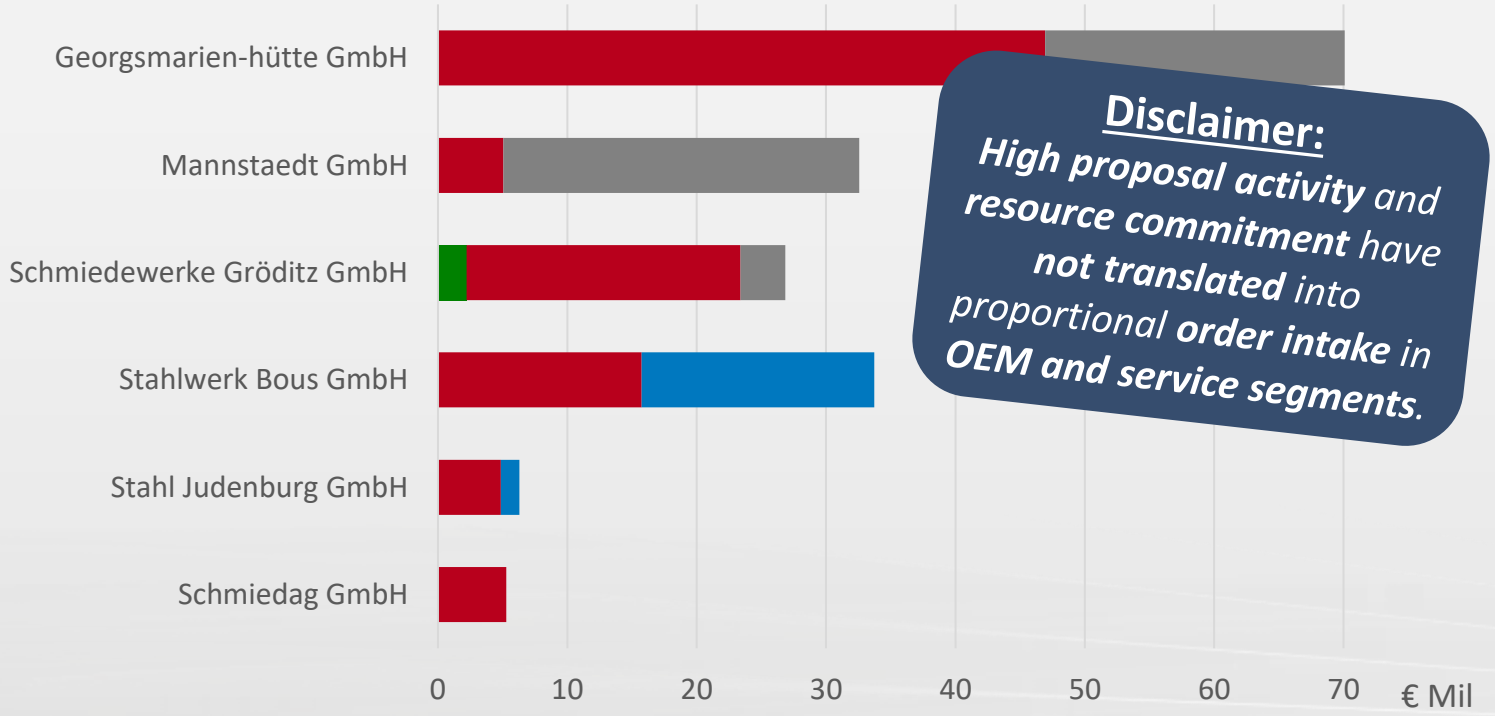
# Focus on a few mayor plants

## Details projects activities




**Disclaimer:**
***High proposal activity** and **resource commitment** have **not translated** into proportional **order intake** in **OEM and service segments.***

| | Schmiedag GmbH | Stahl Judenburg GmbH | Stahlwerk Bous GmbH | Schmiedewerke Gröditz GmbH | Mannstaedt GmbH | Georgsmarien-hütte GmbH |
|---|---|---|---|---|---|---|
| Won | | | | 2.222.500 € | | |
| Lost | €5.280.000 | €4.850.000 | €15.738.000 | €21.160.000 | €5.070.000 | €46.929.900 |
| On Hold | | | | €3.460.000 | €27.500.000 | €23.150.000 |
| In Process | | €1.450.000 | €18.000.000 | | | |

### Overview WON/LOST

**Stahlwerk Bous:** IN PROCESS: Metallurgy/ EAF Retrofit/ 18M€
**Project Status attached on next slides**
**Stahlwerk Bous:** LOST in 2024/ Metallurgy VD/ too expensive, simpler version bought from competition

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**Mannstaedt:** ON HOLD/ Long Products / not followed up by customer

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**SW Gröditz:** WON / Software Modernization Forging / No competition
**SW Gröditz:** LOST / Forging / too expensive
→ SMS terms & conditions not acceptable for GMH

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**GMH:** LOST /Bright Steel/Bright Bar line/ „too expensive, too complicated“ 50% of Scope was to be purchased from outside
**GMH:** ON HOLD / Long Products /Revamp Blooming Mill/ on hold since 2023, realization chance minimal

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**Stahl Judenburg:** LOST / Bright Steel / contractual differences
→ SMS terms & conditions not acceptable for GMH

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**Schmiedag:** LOST / Forging / not followed up by customer

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# Stahlwerk Bous – EAF Retrofit Project

## Deeper Dive on Active Opportunity with GMH Group

### Project Overview

- Budget Offer: **18M€** + **2,5M€** in Options
- Total GMH 2026 **Invest: 35M€**
- Projects to be realized add.:
  - Ingot Storage & annealing hood for ingots
  - new laboratory& 2nd Metallurgy optimization
- Timeline to first heat: Bous wants commissioning **End of 2026**, SMS offered time schedule: **18 months**
- Project Obj.: **Increase production** & **improve efficiency**
  - Current tap time: 87min // Target: < 55min
  - Current energy consumption 510kWh/t
    - Target kWh/t: 450// SMS Guarantee 480
- **Contract award shifted to may 2026 (unofficial)**

### Key Technical Scope

- ***New EAF control room (Level 1, manless)***
- ***New furnace vessel + platform + preheater***
- ***New EAF Hydraulics***
- ***Bottom purging & burner/injectors***
- ***Electrode regulation system***
- ***Additional alloy bunkers***
- ***Furnace cooling expansion***
- ***Dismantling and installation***

### Current Status

**Bous & SMS**

- Contract awarding unofficially shifted to **May 2026** (**was early 2026**)
- Project timing critical: **6-week shutdown** window Dec 2026 **vs**. SMS **10-week proposal**
- **Bous facing lack of technical evaluation** & comparison capacity (5-6 suppliers)
- **Customer has not provided all key information** → significant risk for fixed-price proposals

**Summary**

- Price sensitivity barrier remains for Bous despite improved relationships
- Bous investments aligns with GMHs decarbonization commitment

### Contractual Status

- ✓ Framework agreement exists with GMH
  - ⚠️ Open: Liability regulations
  - ⚠️ Open: LD concept not agreed
  - ⚠️ Open: "Make good" terms for performance

→ All packages awarded to single supplier

### Ongoing Actions

- ✓ Meeting with erection contractors completed

→ Layouts & BOQ optimization for price reduction
→ Technical clarification meeting scheduled
→ Awaiting formal fixed-price RFP invitation

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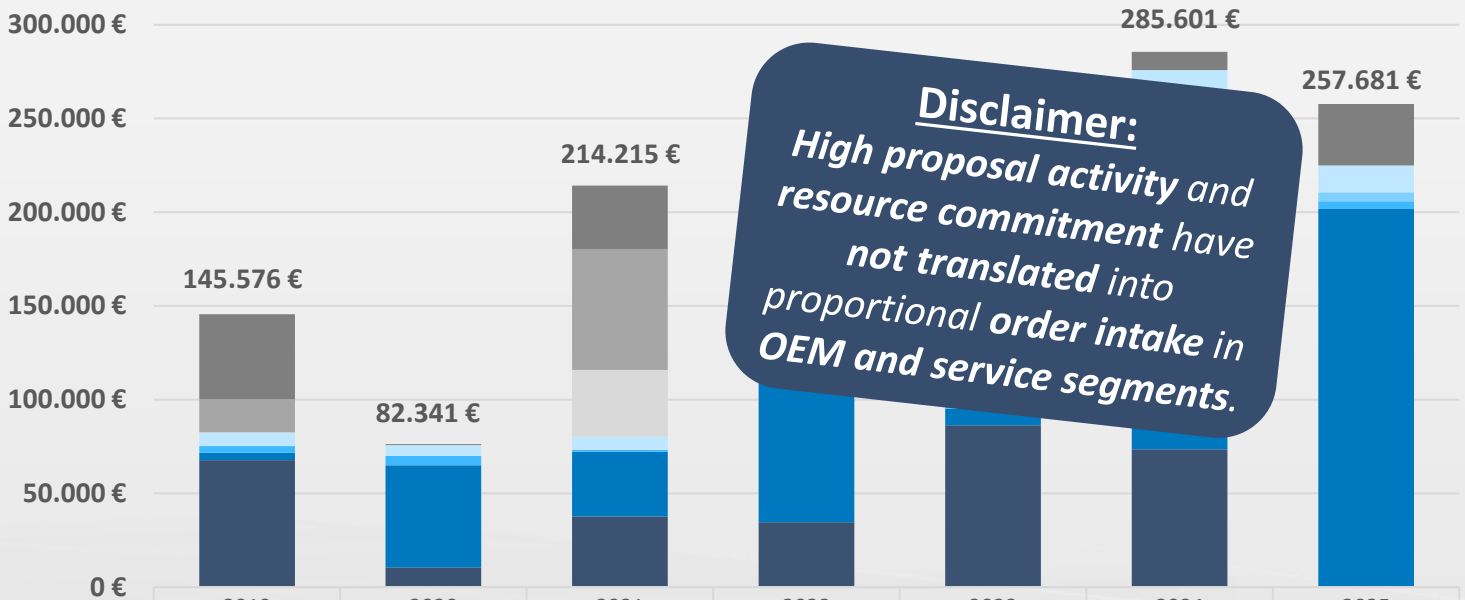
# Order Intake 2019-2025

## Direct Service




**Disclaimer:**
***High proposal activity** and **resource commitment** have **not translated** into proportional **order intake** in **OEM and service segments.***

| | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 |
|---|---|---|---|---|---|---|---|
| Stahl Judenburg GmbH | 45.229 € | 664 € | 33.860 € | 13.766 € | 26.697 € | 9.816 € | 32.757 € |
| Geissler Wista GmbH | 17.720 € | - € | 64.460 € | 492 € | 34.888 € | - € | - € |
| Schmiedag GmbH | 260 € | - € | 35.500 € | - € | 39.500 € | - € | - € |
| Mannstaedt GmbH | 7.084 € | 5.805 € | 7.165 € | 27.542 € | 29.640 € | 146.695 € | 14.363 € |
| Schmiedewerke Gröditz GmbH | - € | - € | - € | 24.976 € | 8.936 € | 4.328 € | 4.700 € |
| Stahlwerk Bous GmbH | 3.670 € | 4.815 € | 1.070 € | 1.654 € | 8.506 € | 1.277 € | 4.074 € |
| Georgsmarienhütte GmbH | 3.952 € | 54.448 € | 34.412 € | 113.121 € | 8.879 € | 49.971 € | 201.788 € |
| GMH Blankstahl GmbH | 67.661 € | 10.609 € | 37.748 € | 34.622 € | 86.332 € | 73.513 € | - € |

### Ratio of supply to orders

- **49 quotes requested** between May 1, 2024, and February 5, 2026
- **36 orders received** between May 1, 2024, and February 5, 2026
  - However, it should be noted that no large orders were placed.
  - Several quotes over €150k were created but not ordered – new quotes were even created here (visible in the history in S4, but all quotes have long since expired).

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